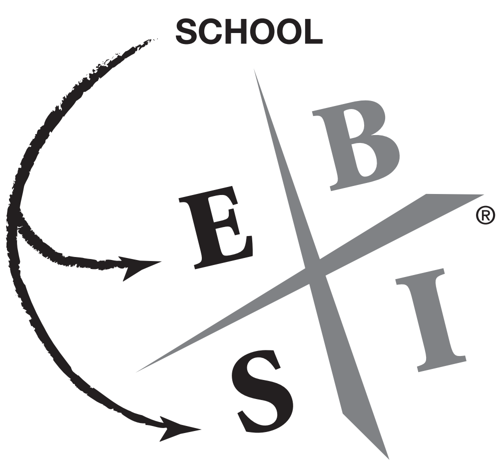
Chapter Three

WHY PEOPLE CHOOSE SECURITY OVER FREEDOM

Many people seek job security because that's what they are taught, both at school and at home.

Both of my dads recommended that I go to college and get a degree. But it was after receiving the degree that their advice took different paths. My highly educated dad constantly advised: "Go to school, get good grades, and then get a good safe, secure job."

He was recommending a life path focused on the left side of the CASHFLOW Quadrant that looks like this:



Their advice was different because one dad was concerned with job security, and the other focused on financial freedom.

Why People Seek Job Security

The primary reason many people seek job security is because that's what they are taught to seek, both at school and at home.

As adults, millions of people still continue to follow that advice. Many of us are conditioned from our earliest days to think about job security, rather than financial security or financial freedom. And because most of us learn little to nothing about money at home or at school, it's only natural that we cling ever more tightly to the idea of job security instead of reaching for freedom.

If you look at the CASHFLOW Quadrant, you'll notice that the left side is motivated by security. The right side is motivated by freedom.

Trapped by Debt

The main reason that 90 percent of the population is working on the left side is because that's the side they learned about at school. After leaving school, they often end up with lots of expenses and may fall into debt. This means they must cling ever tighter to a job, or to professional security, just to pay the bills.

I often meet young people who receive their college diploma along with the bill for their college loans. Several of them told me that they're depressed when they see that they are in debt thousands and thousands of dollars for their college education. If their parents paid the bill, then the parents are strapped financially for years.

Most Americans today will receive a credit card while still in school and will be in debt for the rest of their lives. That's because they're often following a script that became popular in the Industrial Age.

Following the Script

If we track the life of an average educated person, the financial script often goes like this:

The child goes to school, graduates, finds a job, and soon has some money to spend. The young adult now can afford to rent an apartment, buy electronics, new clothes, some furniture, and, of course, a car. Soon the bills begin to come in.

One day, the adult meets someone special and sparks fly. They fall in love and get married. For a while, life is blissful because two can live as cheaply as one. With only one rent to pay, they can afford to set a few dollars aside to buy the dream of all young couples—their own home.

They find a house, pull their money out of savings and use it for a down payment. Now they have a mortgage. Because they have a new house, they need new furnishings, so they find a furniture store that advertises those magic words: "No money down. Easy monthly payments."

Life is wonderful, and they throw a party to have all their friends over to see their new house, new car, new furniture, and new toys. They're already deeply in debt. Then the first child arrives.

After dropping the child off at nursery school, this average couple must now put their nose to the grindstone and go to work. They become trapped by the need for job security simply because, on average, they're less than three months away from financial bankruptcy. These people will often say, "I can't afford to quit. I have bills to pay."

The Success Trap

One of the reasons I learned so much from my rich dad was because he had the free time to teach me. As he grew more successful, he had more free time and money. His business got better, but he didn't have to work harder. He simply had his president expand the system and hire more people to do the work. If his investments did well, he reinvested the money and made more money. Instead of working, he spent hours with his son and me explaining to us everything he was doing in business and investing. I was learning more from him than I was learning at school. That's what happens when you work hard on the right side of the CASHFLOW Quadrant, the B and I side.

My highly educated dad worked hard too, but he worked hard on the left side. By working hard, getting promoted, and taking on more responsibility, he had less and less free time to spend with his kids. He would leave for work at 7 a.m., and many times we wouldn't see him because we had to go to bed before he got home. That's what happens when you work hard and become successful in the E and S quadrants. Success brings you less and less time, even if it does bring more money.

The Money Trap

Success on the B and I side requires a particular kind of knowledge about money called "financial intelligence." Rich dad said that financial intelligence determined, not so much how much money you make, but how much money you keep, how hard that money works for you, and how many generations you can keep it.

Success on the right side requires financial intelligence. If people lack basic financial intelligence, they'll find it hard to survive on the right side of the CASHFLOW Quadrant.

My rich dad was good with money and with people at work. He had to be. He was responsible for creating money, managing as few people as possible, keeping costs low, and keeping profits high. Those are the skills necessary for success on the right side.

It was my rich dad who stressed that your home is not an asset, but a liability. He could prove it simply by looking at the numbers.

My educated dad didn't manage money and people at work, although he thought he did. As the state superintendent of education, he was a government official with a multimillion dollar budget and thousands of employees. But it was not money he created. It was the taxpayers' money, and his job was to spend all of it. If he didn't spend it, the government would give him less money the next year. So at the end of each fiscal year, his goal was to deplete his budget, which meant he often hired more people to justify the next year's budget. The funny thing was that the more people he hired, the more problems he had.

As a young boy observing both fathers, I began to take mental notes of what kind of life I wanted to lead.

My educated dad was a voracious reader of books, so he was word-literate, but he was not financially literate. Because he couldn't read numbers on a financial statement, he had to take the advice of his banker and accountant, and both told him that his house was an asset and that it should be his largest investment.

Because of this financial advice, not only did my highly educated dad work harder, he also got further into debt. Every time he received a promotion for his hard work, he also got a pay raise, and with each pay raise he went into a higher tax bracket. Because he was in a high tax bracket, and taxes for high-income workers in the 1960s and 1970s were extremely high, his accountant and banker would tell him to buy a bigger house so he could write off the interest payments. He made more money, but all that happened was that his taxes increased and his debt increased. The more successful he got, the harder he had to work, and the less time he had with the people he loved. Soon, all the children were gone, and he was still working hard just to keep up with the bills.

He always thought that the next promotion and pay raise would solve his problem. But the more money he made, the more the same things happened. He got deeper into debt and paid more in taxes.

The more frazzled he got, both at home and at work, the more he seemed to depend on job security. The more emotionally attached he got to his job and to a paycheck to pay the bills, the more he encouraged his kids to "get a safe, secure job."

The more insecure he felt, the more he sought security.

Your Two Biggest Expenses

Because my dad couldn't read financial statements, he failed to see the money trap he was getting sucked into as he grew more successful. It's the same money trap I see millions of other successful hardworking people fall into.

The reason so many people struggle financially is because, every time they make more money, they also increase their two biggest expenses: taxes and interest on debt.

To top it all off, the government often offers you tax breaks to get you deeper into debt. Doesn't that make you a little suspicious?

At the end of my hardworking, educated dad's life, the little money he did have left to pass on was taken by the government in probate taxes.

The Search for Freedom

I know that many people search for freedom and happiness. The problem is that most people haven't been trained to work from the B and I quadrants. They have been trained instead to search for job security. Because of this training and their increasing debt, most people limit their search for financial freedom to the left side of the CASHFLOW Quadrant. Unfortunately, financial security and financial freedom are seldom found in the E or the S quadrant. True security and freedom are only found on the right side.

Going from Job to Job in Search of Freedom

One thing the CASHFLOW Quadrant is useful for is to track or observe a person's life pattern. Many people spend their life in search of security or freedom, but wind up instead going from job to job.

For example, I have a friend from high school who I hear from about every five years. He is always excited because he has found the perfect job and the company of his dreams. He loves the company. It's doing exciting things. He loves his work, he has an important title, the pay is great, the people are great, the benefits are great, and his chances for promotion are great.

About four and a half years later, I hear from him again. Only this time he's dissatisfied. The company he works for is now corrupt and dishonest and, in his opinion, it doesn't treat its workers with respect. He hates his boss, he was passed over for a promotion, and they don't pay him enough. Six months go by, and he's happy again because he's found a new job. And the cycle starts anew.

His life path looks something like a dog chasing its tail. It looks like this:

His life pattern is going from job to job. So far, he lives well because he's smart, attractive, and personable. But the years are catching up with him, and younger people are now getting the jobs he used to get. He has a few thousand dollars in savings, nothing set aside for retirement, a house he'll never own, child-support payments, and college yet to pay for. His youngest child, 8, lives with his ex-wife, and his oldest child, 14, lives with him.

He used to always say to me, "I don't have to worry. I'm still young. I have time."

I wonder if he's saying that now.

In my opinion, he needs to make a serious effort to begin moving to either the B or the I quadrant quickly. A new attitude and a new educational process need to begin. Unless he gets lucky and wins the lottery, or finds a rich woman to marry, he's on a course of working hard for the rest of his life.

Doing Your Own Thing

Another common pattern is someone going from E to S. During periods of massive downsizing and unemployment, some people get the message. Instead of looking for another job, they decide to start their own businesses.

There's been a boom in so-called home-based businesses. Many people make the decision to start their own business, do their own thing, and be their own boss. Their career path looks like this:

Of all the life paths, this is the one I feel for the most. In my opinion, being an S can be extremely rewarding—and the most risky. I think the S quadrant is the hardest quadrant there is. The failure rates are high and, if you make it, being successful can be worse than failing. That's because, if you're successful as an S, you'll work harder than if you were in any of the other quadrants, and you'll work harder for a long time.

The reason S's work the hardest is because they typically are the proverbial "chief cook and bottle washer." They have to do, or be responsible for, all the jobs that are done by many managers and employees in a bigger company. An S just starting out often answers the phone, pays the bills, makes sales calls, tries to advertise on a small budget, handles customers, hires employees, fires employees, fills in when employees don't show up, talks to the tax man, fights off the government inspectors, and on and on.

Personally, I cringe whenever I hear someone say they're going to start their own business. I wish them well, yet I feel great concern for them. I've seen so many E's take their life savings or borrow money from friends and family to start their own business. After three or so years of struggle and hard work, the business folds and, instead of life savings, they have debt to pay off.

Nationally, nine out of 10 of these types of businesses fail in five years. Of the one that is remaining, nine out of 10 of them fail in the next five years. In other words, 99 out of 100 small businesses ultimately disappear in 10 years.

I think the reason most fail in the first five years is due to lack of experience and lack of capital. The reason the one survivor often fails in the second five years isn't due to lack of capital, but lack of energy. The hours of long, hard work finally get to the person. Many S's just burn out.

Those who do survive seem to have become used to the idea of getting up, going to work, and working hard forever. That seems to be all they know and all they do.

I have a friend whose parents have spent the last 45 years working long hours in their liquor store. As crime increased in their neighborhood, they had to put steel bars up on the doors and all the windows. Today, money is passed through a slot, much like in a bank. I go by occasionally to see them. They're wonderful, sweet people, but it saddens me to see them as virtual prisoners in their own business, from 10 in the morning until two the next morning, staring out from behind the bars.

Many wise S's sell their businesses at their peak, before they run out of steam, to someone with energy and money. They take some time off and then start something new. They keep doing their own thing and love it. The key is to know when to get out.

The Worst Advice to Give Your Children

If you were born prior to 1930, then "Go to school, get good grades, and find a safe, secure job" was good advice. But for most of you, it's bad advice.

Why? The answer is found in taxes and debt.

For people who earn their income from the E quadrant, there are virtually no tax breaks left. Today in America, being an employee means you are a 50/50 partner with the government. That means the government ultimately will take 50 percent or more of an employee's earnings, and much of that before the employee even sees the paycheck.

When you consider that the government offers you tax breaks for going further into debt, the path to financial freedom is virtually impossible for most people in the E and S quadrants. I often hear accountants tell clients who begin earning more income from the E quadrant to buy a bigger house so they can receive a bigger tax break. While that may make sense to someone on the left side of the CASHFLOW Quadrant, it makes no sense to someone on the right side.

Who Pays the Most Taxes?

The rich do not pay a lot in income taxes. Why? Simply because they don't earn their money as employees. The ultra-rich know that the best way to avoid taxes legally is by generating income out of the B and I quadrants.

If people earn money in the E quadrant, the only tax break they're offered is to buy a bigger house and go into greater debt. Viewed from the right side of the CASHFLOW Quadrant, that isn't financially intelligent. To people on the right side, that's like saying, "Give me $1, and I will give you 50 cents back."

Taxes Are Unfair

I often hear people say, "It's un-American not to pay taxes."Americans who say this seem to have forgotten their history. America was founded out of tax protest. Have they forgotten the famous Boston Tea Party of 1773? This rebellion sparked the Revolutionary War and was all about taxation—taxation without representation.

This rebellion was followed by Shays' Rebellion, the Whiskey Rebellion, Fries's Rebellion, the Tariff Wars, and many others throughout the history of the United States.

There are two other famous tax revolts that weren't staged by Americans, but do demonstrate the passion with which people object to taxation.

The story of William Tell is a story of tax protest. That's why he was forced to shoot the apple off his son's head. He was angry about taxes and refused to bow to the tax collector. His punishment was to put his son's life at risk with a target on his head.

And then there was Lady Godiva. She pleaded with her husband, the Earl of Mercia, to lower taxes in her town. Her husband said he would lower the taxes if she would ride naked through the town. She took him up on his offer.

Tax Advantages

Taxes may be a necessity of modern civilization, but problems arise when taxes become abusive and mismanaged. As millions of baby boomers begin to retire, they will shift from the role of taxpayers to retirees and Social Security recipients. There will be a need to collect more taxes to support this shift. America and other great nations will decline financially. Individuals with money will leave in search of countries that welcome their money, instead of penalizing them for having it.

A Big Mistake

A newspaper reporter once asked me how much money I made during the prior year. I replied, "Approximately a million dollars."

"And how much did you pay in taxes?" he asked.

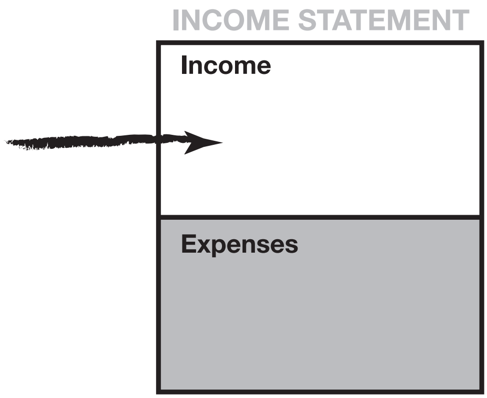
"Nothing," I said. "That money was made in capital gains and I was able to indefinitely defer paying those taxes. I sold three pieces of real estate and put them through a Section 1031 exchange under the U.S. Internal Revenue Code. I never touched the money. I just reinvested it into a much larger property." A few days later, the newspaper ran this story.

"Rich man makes $1 million and admits to paying nothing in taxes."

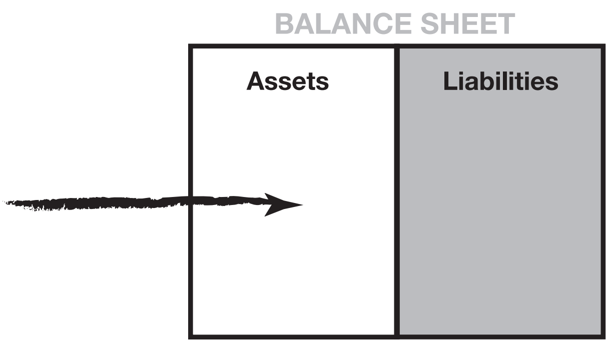
I did say something like that, but a few choice words were missing, which distorted the message. I don't know if the reporter was being malicious or if he simply didn't understand what a 1031 exchange is. Whatever the reason, it's a perfect example of different points of view coming from different quadrants. As I said, not all income is equal. Some income is much less taxed than others.

Most People Focus on Income, Not Assets

The reporter earns his money in this column.



I earn my money in this column.



The reporter earns his money in this quadrant.

I earned my million in this quadrant.

Today, I still hear people say, "I'm going back to school so I can get a raise," or "I'm working hard so I can get a promotion."

Those are words or ideas of a person who is focusing on the income column of the financial statement or the E quadrant. Those are the words of a person who will give half of that raise to the government and work harder and longer to do it.

In an upcoming chapter, I'll explain how people on the right side of the CASHFLOW Quadrant utilize taxes as an asset, instead of the liability it is for most people on the left side. It's not a matter of being unpatriotic. It's about fighting back legally to defend the right to keep as much money as possible. Countries where people don't protest their taxes often have depressed economies.

Get Rich Quickly

For Kim and me to go from homeless to financially free quickly meant earning our money in the B and I quadrants. In these quadrants, you can get rich quickly because you can avoid paying taxes legally. And by being able to keep more money and have that money work for us, we found freedom quickly.

How to Get Free

Debt and taxes are the main reasons most people never feel financially secure or achieve financial freedom. The path to security or freedom is found on the right side of the CASHFLOW Quadrant. You need to go beyond job security and know the difference between financial security and financial freedom.

As you know, my highly educated dad was fixated on job security, as are most people of his generation. He assumed that job security meant financial security—until, that is, he lost his job and couldn't find another. My rich dad never talked about job security. He talked instead about financial freedom.

The answer to finding the kind of security or freedom you desire can be found in observing the patterns found in the CASHFLOW Quadrant.

The Pattern for Job Security

People who follow this pattern are often good at performing their job. Many spent years in school and years on the job gaining experience. The problem is that they know little about the B quadrant or the I quadrant, even if they have a retirement plan. They feel financially insecure because they've been trained only for job security.

Knowledge Is Power

To become more financially secure, I suggest that, in addition to performing their jobs in the E or S quadrants, individuals become educated in the B or I quadrants. By having confidence in their abilities on both sides of the CASHFLOW Quadrant, they'll naturally feel more secure, even if they have only a little money. Knowledge is power, and when an opportunity presents itself, they will be prepared to act with confidence.

That is why our maker gave us two legs. If we had only one leg, we would always feel wobbly and insecure. By having knowledge in two quadrants, one on the left and one on the right, we tend to feel more secure. People who know about their job or their profession only have one leg. Every time the economic winds blow, they tend to wobble more than people with two legs.

The Pattern for Financial Security

This is the pattern for financial security for an E:

Instead of just putting money into a retirement account and hoping for the best, this loop signifies that people feel confident in their education as both an investor and an employee. Just as we study at school to learn a job, I suggest you study to become a professional investor.

The reporter who was upset about my making a million dollars in my asset column and not paying taxes never asked me the question, "How did you make the million dollars?"

To me, that's the real question. Legally avoiding the taxes is easy. Making the million wasn't so easy.

A second path to financial security could be:

And this is what financial security looks like for an S:

The average American millionaire is self-employed, lives frugally, and invests for the long term. The pattern above reflects that financial life path.

This path, the S to the B, is often the path that many great entrepreneurs like Bill Gates take. It's not the easiest but, in my mind, it is one of the best.

Two Are Better Than One

Back in chapter two, I discussed how the average rich person earns 70 percent of their income from the right side and less than 30 percent from the left side. I've found that no matter how much money people make, they will feel more secure if they operate in more than one quadrant. Financial security is having a secure footing on both sides of the CASHFLOW Quadrant.

Millionaire Firefighters

I have two friends who are examples of success on both sides of the CASHFLOW Quadrant. They have tremendous job security with benefits, and they have also achieved great financial wealth on the right side. Both are firefighters who work for the city government. They enjoy good, steady pay, excellent benefits and retirement plans, and work only two days a week. Three days a week they work as professional investors. The remaining two days, they relax and spend time with their families.

One buys old houses, fixes them up, and collects rent. He owns 45 houses that pay him $10,000 a month net after debt, taxes, maintenance, and management and insurance. He earns $3,500 a month as a firefighter, making his total monthly income more than $13,000 and his annual income about $150,000 and growing. He has five more years before retirement, and his goal is to have $200,000 a year in income at age 56. Not bad for a government employee with four kids.

The other friend spends his time analyzing companies and taking major long-term positions in stocks and options. His portfolio is now more than $3 million. If he cashed it out and moved the money into an investment that earns 10 percent interest a year, he would have an income of approximately $300,000 per year for life (even taking into account average market fluctuations). Again, not bad for a government employee with two kids.

Both friends have enough passive income from their 20 years of investing to have retired by age 40, but they both enjoy their work and want to retire with full benefits. Then they'll be free to enjoy the benefits of success gained from both sides of the CASHFLOW Quadrant.

Money Alone Does Not Bring Security

I have met many people who have millions in their retirement accounts and still feel insecure. Why? Because it's money generated from their job or business. They often have the money invested in a retirement account, but know little to nothing about the subject of investments. If that money disappears and their working days are over, what do they do then?

In times of great economic change, there are always great transfers of wealth. Even if you don't have much money, it's important to invest in your education because, when the changes come, you'll be better prepared to handle them. Don't be caught unaware and afraid. As I said, no one can predict what will happen, so it's best to be prepared for whatever happens. And that means getting educated now.

The Pattern for Financial Freedom

This is the pattern my rich dad recommended. It is the path to financial freedom. This is true financial freedom because, in the B quadrant, people are working for you, and in the I quadrant, your money is working for you. You are free to work or not to work. Your knowledge in these two quadrants has brought you complete physical freedom from work.

If you look at the ultra-rich, this is their pattern. The loop around the B and the I signifies the income pattern of people like Bill Gates, Rupert Murdoch, and Warren Buffett.

A quick word of caution: The B quadrant is much different from the I quadrant. I've seen many successful B's sell their businesses for millions, and their new-found wealth goes to their head. They tend to think that their dollars are a measure of their IQ, so they swagger on down to the I quadrant and lose it all. The game and rules are different in all of the quadrants, which is why I recommend education over an ego trip.

Just as in the case of financial security, having two quadrants gives you greater stability in the world of financial freedom.

A Choice of Paths

The preceding patterns are the different financial paths people can choose. Unfortunately, most people choose the path of job security. When the economy starts wobbling, they cling ever more desperately to job security and wind up spending their lives pursuing it.

At a minimum, I recommend becoming educated in financial security, which is feeling confident about your job and feeling confident about your ability to invest in good and bad times. A big secret is that true investors make more money in bad markets. They make their money because the non-investors are panicking and selling when they should be buying. I'm not afraid of the possible coming economic changes, because change means wealth is being transferred.

Your Boss Cannot Make You Rich

A friend of mine sold his company and, on the day of the sale, put more than $15 million into his bank account. On the other hand, his employees had to look for new jobs.

At the farewell party, which was filled with tears, there were also undercurrents of extreme anger and resentment. Although he'd paid them well for years, most were financially no better off on their last day of work than they were on their first day of work. Many people realized that the owner of the company had become rich while they spent all those years collecting their paychecks and paying bills.

The reality is that your boss's job is not to make you rich. Your boss's job is to make sure you get your paycheck. It's your job to become rich if you want to. And that job begins the moment you receive your paycheck. If you have poor money-management skills, then all the money in the world won't save you. If you budget your money wisely and learn about either the B or I quadrant, then you're on your own path to great personal fortune and, most importantly, freedom.

My rich dad used to say to his son and me that the only difference between a rich person and a poor person is what they do in their spare time.

I agree with that statement. I realize that people are busier than ever before, and free time is more and more precious. Yet I believe that if you're going to be busy anyway, be busy on both sides of the CASHFLOW Quadrant. If you do that, you'll have a better chance of eventually finding more free time and more financial freedom. When at work, work hard. But remember that what you do after work with your paycheck and your spare time will determine your future. If you work hard on the left side, you'll work hard forever. If you work hard on the right side, you have a chance of finding freedom.

The Path I Recommend

I am often asked by people in the E and S quadrants, "What would you recommend?" I recommend the same path my rich dad recommended to me—the same path that people like Ross Perot and Bill Gates took. The path looks like this:

Occasionally people reply, "But I'd rather be an investor."

To which I say, "Then go to the I quadrant. If you have plenty of money and lots of free time, go straight to the I quadrant. But if you don't have an abundance of time and money, the path my rich dad recommended is safer."

I's Invest in B's

In most cases, people do not have an abundance of time and money, so they then ask another question, "Why do you recommend the B quadrant first?"

This discussion usually takes an hour or so, but I'll just summarize my reasons in the next few lines.

1. ***Experience and education***
   If you are first successful as a B, you'll have a better chance of developing into a powerful I. If you first develop a solid business sense, you can become a better investor. You'll be better able to identify other good B's. True investors invest in successful B's with stable business systems. It's risky to invest in an E or an S who doesn't know the difference between a system and a product, or who lacks excellent leadership skills.

2. ***Cash flow***
   If you have a business that is up and running, you then should have the free time and the cash flow to support the ups and downs of the I quadrant.

   Many times I meet people from the E and S quadrants who are so tight on cash that they can't afford to take any kind of financial loss. One market swing and they're wiped out because they operate financially at the red line.

   The reality is that investing is capital- and knowledge-intensive. Sometimes it takes lots of capital and requires a lot of time to gain the necessary knowledge. Many successful investors have lost many times before winning. Successful people know that success is a poor teacher. Learning comes from making mistakes and, in the I quadrant, mistakes cost money. If you lack both knowledge and capital, it's financial suicide to try to become an investor.

   By developing the skill of becoming a good B first, you'll also be providing the cash flow necessary to help you become a good investor. The business you develop as a B will provide the cash to support you as you gain the education to become a good investor. Once you have gained the knowledge to become a successful investor, you'll understand how I can say, "It does not always take money to make money."

Good News

The good news is that it's easier than ever before to be successful in the B quadrant because of technology. Although it's not as easy as just getting a minimum-wage job, the systems are in place now for more and more people to find financial success as B's.